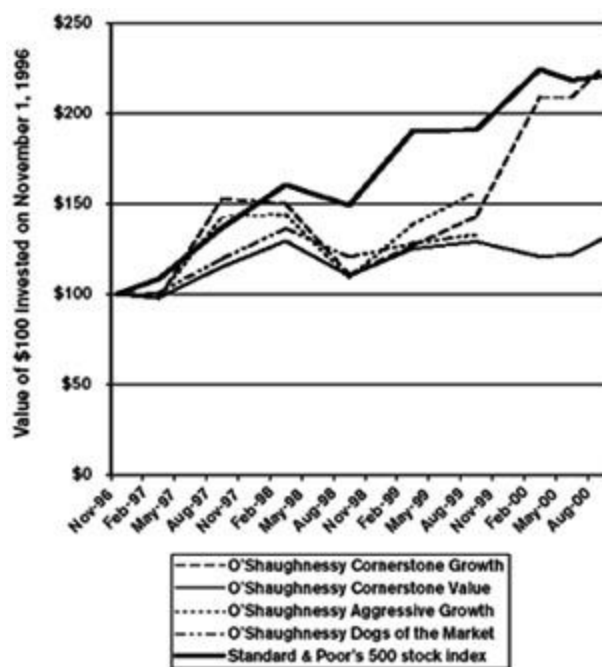


\$175 million from the public—and, in his annual letter to shareholders, O’Shaughnessy stated grandly: “As always, I hope that together, we can reach our long-term goals by staying the course and sticking with our time-tested investment strategies.”

But “what works on Wall Street” stopped working right after O’Shaughnessy publicized it. As Figure 1-2 shows, two of his funds stank so badly that they shut down in early 2000, and the overall stock market (as measured by the S & P 500 index) walloped every O’Shaughnessy fund almost nonstop for nearly four years running.

FIGURE 1-2

What Used to Work on Wall Street...



Source: Morningstar, Inc.

In June 2000, O’Shaughnessy moved closer to his own “long-term goals” by turning the funds over to a new manager, leaving his customers to fend for themselves with those “time-tested investment strategies.”¹³ O’Shaughnessy’s shareholders might have been less